

Comprehensive Analysis of Maruti Suzuki, Sona Comstar & Dixon Technologies

Maruti Suzuki India Ltd (MSIL)

Business Overview: Maruti Suzuki is India's largest passenger car manufacturer, historically commanding about 50% market share in the domestic market ¹. It is a subsidiary of Japan's Suzuki Motor Corp and has been the market leader by focusing on affordable, fuel-efficient cars tailored to Indian consumers. In FY2023-24, Maruti sold over **2.13 million** vehicles (1.85 million domestic, ~283,000 exports) ² – a milestone as it crossed 2 million annual sales for the first time. In FY2024-25, sales further grew to **2.23 million** units (1.90 million domestic, 332,585 export) ³. Maruti has also emerged as India's top auto exporter for 4 years running, accounting for ~43% of passenger vehicle exports ⁴. Despite intensifying competition, Maruti still holds around **40-45%** of the Indian passenger vehicle market as of 2025 ¹.

Product Portfolio: Maruti manufactures a wide range of vehicles across segments, from entry-level hatchbacks to SUVs. Its **small cars** (hatchbacks) like the **Alto**, **WagonR**, **Celerio**, **Swift**, **Baleno**, and **Ignis** have traditionally been its best-sellers, anchoring Maruti's dominance in the budget segment. It also produces compact **sedans** like the **Dzire** and **Ciaz**. In **multi-purpose vehicles (MPVs)**, Maruti offers the popular **Ertiga** and its premium sibling **XL6**. Maruti entered the SUV segment with models such as the **Vitara Brezza** (now just Brezza), **S-Cross** (discontinued and succeeded by new models), and recently the **Grand Vitara** (a midsize SUV) and **Jimny** lifestyle 4x4. It even sells a micro-van **Eeco** (a successor to the Omni) and a small **light commercial vehicle (Super Carry** mini-truck) in its portfolio. This broad product range covers most price points. Notably, Maruti operates dual sales networks: **Arena** for its mass-market models (Alto, Swift, WagonR, etc.) ⁵ and **Nexa** for its premium offerings (Baleno, Ciaz, Ignis, XL6, Grand Vitara, etc.), reflecting a strategy to attract more upmarket customers while retaining its budget-car base.

Sales & Market Performance: Over the last decade, Maruti's volumes grew from roughly 1.1–1.3 million units/year in the early 2010s to over 1.65 million by FY2018-19, and despite a dip during the 2019-2020 slowdown and COVID-19, it rebounded strongly to new highs by 2023-24 ² ³. Its domestic market share peaked near 50% around 2018-2019, but then **fell to ~40% by 2022-2023** ¹. This decline was primarily due to two factors: (1) **Shift in consumer preference to SUVs**, where Maruti's lineup was initially limited, allowing rivals (Hyundai, Tata, Mahindra, Kia) to eat into its share ⁶; and (2) **Maruti's exit from diesel cars in 2020**, which left it absent from about 20% of the market that still demanded diesel engines ⁷. In April 2020, with BS6 emission norms kicking in, Maruti discontinued all diesel models, a significant move given diesels had accounted for ~30% of its sales in the BS4 era ⁸ ⁷. Its market share drop below 50% "*coincided with its exit from diesel in 2020*", as Maruti chose to focus only on petrol, CNG and hybrids thereafter ⁷. Nevertheless, Maruti managed to defend its leadership through aggressive pricing, a wide sales-service network, and boosting alternative fuel options (it became a leader in factory-fitted CNG cars). By FY2024, **hatchbacks' share in industry sales had shrunk** (from 46% in FY2019 to 27% in FY2024) as SUVs rose ⁹, but Maruti adapted by launching more SUVs and crossovers. Models like the updated Brezza, new **Fronx** (a sub-compact crossover), **Jimny**, and **Grand Vitara** (with mild and strong hybrid options) were introduced to recapture ground in the SUV segment. In FY2023-24, Maruti's domestic sales grew ~9% and exports ~8.6%, hitting record revenues (₹1.35 trillion) and net profit (₹132 billion) ¹⁰. In FY2024-25, domestic growth was modest

(+2.7%) but strong exports (+17.5%) lifted overall volume +4.6% ¹¹, showing Maruti's increasing diversification into exports (its largest export markets include Africa, Latin America and Asia). The company's financial performance has been robust, with improving margins lately due to operating leverage, softer commodity prices, and cost reduction efforts ¹². Maruti's sheer scale (now targeting 4 million annual capacity by 2030 ¹³) gives it cost advantages in sourcing and manufacturing.

Strategic Evolution (Past Decade): In the past 10 years, Maruti has transformed from primarily a small-car company to a more full-range automaker. Around 2015, it launched the **Nexa** dealership channel to shed its economy-car image and attract customers for premium models like the Baleno (launched 2015) and S-Cross. It also rolled out the **SUVs/MPVs** that were missing: the Vitara Brezza (2016, a sub-4m compact SUV) quickly became a bestseller in its category. Maruti's partnership with **Toyota** (for technology and model sharing) has been a cornerstone of its strategy since 2017-18. Under this alliance, Maruti and Toyota agreed to cross-badge certain models and share development. Maruti's **Glanza** and **Urban Cruiser** were essentially Toyota's Glanza (Baleno) and Urban Cruiser (Brezza) sold under the Toyota brand, while Toyota's **Innova Hycross** and **Corolla** technology came to Maruti as the **Invicto** MPV and the hybrid powertrain in Grand Vitara. In fact, Maruti's recent **Grand Vitara** SUV and **Invicto** MPV both utilize **Toyota's strong hybrid system** (based on Toyota's eCVT and battery tech) ¹⁴, allowing Maruti to offer high fuel-efficiency hybrids without its own EV yet. This tech-sharing helped Maruti compensate for its late entry into electrification by leveraging proven Toyota hybrid tech. On the conventional fuel side, Maruti doubled down on **CNG** as a differentiator – offering factory-fitted CNG options on most models (by FY2024, CNG vehicles were ~15% of Maruti's sales, as per industry trends ¹⁵). Maruti also invested in **safety and tech features** in the last decade, addressing past criticism about its cars' safety ratings. Features like dual airbags, ABS became standard by regulation, and recent models see stronger platforms. However, Maruti did face a reputation challenge on safety (some earlier models scored poorly in Global NCAP tests), which it is working to improve with newer architectures (the Baleno, Brezza new generations etc. have seen better safety equipment).

Current Direction and Future Plans: Maruti Suzuki is now poised to play a balancing act between traditional engines and new energy vehicles. Unlike some competitors who dove headlong into battery EVs, Maruti has taken a **"multi-powertrain strategy"** – continuing to offer **petrol, CNG, hybrid, and upcoming flex-fuel** models while it **gradually rolls out EVs** ¹⁶ ¹⁷. The company has explicitly stated that **small cars will remain its core** business, serving budget-conscious buyers, even as it adapts to new trends ¹⁸. For example, Maruti is **developing a new micro-SUV** below the Brezza to target buyers of ultra-compact SUVs like Tata Punch and Hyundai Exter ¹⁹, ensuring it doesn't abandon the entry-level segment as tastes shift from hatchbacks to mini-SUV styling. Simultaneously, Maruti is expanding aggressively in **mid-size and large SUVs/MPVs**: it has planned **nine new SUVs/MPVs by 2028** across various sizes ²⁰. This includes electric SUV derivatives and new three-row vehicles to compete in segments it earlier missed ²¹. Capacity expansion is also on the agenda – Maruti plans to ramp up total production capacity to **4 million units annually by 2030** (from ~2.25 million currently) to meet domestic and export demand ¹³. A major greenfield plant in Haryana (Kharkhoda) is under development to add ~1 million capacity in phases by 2030.

On the **electric vehicles (EV)** front, Maruti was a notable laggard (it did not have a production EV as of 2023, even as Tata Motors grabbed ~70% of India's nascent EV market with models like Nexon EV). Maruti's stance was that EV affordability and charging infrastructure needed to improve, so it focused on hybrids and CNG in the interim ¹⁶. However, this is changing fast: Maruti has announced plans to **launch its first EV** (a compact SUV likely called **eVX** or **"e-Vitara"**) by late 2024 or 2025 ¹⁴. In total, it targets **4 battery EV models by 2030** ²², aiming to become *"the number one in EV production, sales and exports" in India* by the end of this decade ²³. Until those EVs arrive in volume, Maruti is leveraging **strong hybrids** (e.g. Grand Vitara's 1.5L Toyota hybrid variant has been very well received) and **flex-fuel** technology to bridge the gap. In fact, Maruti showcased a flex-fuel (E85 ethanol-compatible) prototype

of its **Fronx** crossover and is expected to launch flex-fuel models in 2024-25 ²⁴ – aligning with India's push for ethanol-blended fuels. This multi-fuel approach allows Maruti to address emissions and fuel efficiency concerns without a full EV, catering to varied customer needs.

Industry Trends & Impact: The Indian car industry is undergoing a shift toward SUVs (now ~60% of PV sales) and cleaner propulsion (electrification). These trends challenged Maruti but also open new opportunities. Maruti **lost ground during the SUV boom** as rivals rolled out attractive models and Maruti's lineup was thin ⁶. Now, Maruti is in catch-up mode with a pipeline of SUVs (the new Brezza, Fronx, Jimny, Grand Vitara, Invicto launched in 2022-23, and more coming) and this is already helping it regain some market share in 2023-25. The company has explicitly stated it *"aims to regain a 50% market share"* by the decade's end ¹. On electrification, while Maruti's late entry is a **weakness**, it is mitigated by the still-small share of EVs in India (~2% of PV sales in 2023). Maruti is timing its EV push with expected market maturation around 2024-25. Importantly, Maruti is hedging bets with **hybrids and CNG** to meet tightening fuel economy and emission norms in the interim ¹⁶. The regulatory environment (e.g. BS6 Stage II emission norms from 2023, forthcoming Corporate Average Fuel Economy targets, and safety regulations) has raised cost structures industry-wide. Maruti, known for cost-focus, responded by localizing components and leveraging Suzuki's R&D to keep price increases in check. Another industry shift is the **rise of exports from India** – here Maruti has taken a leadership role, exporting to over 100 countries. Exports now form a significant part of its volumes (over 0.33 million in FY25) ³, and Maruti intends to grow this further. Exports not only diversify its revenue but also allow absorption of production capacity. The **competitive landscape** is also evolving: new entrants like MG (SAIC) and Kia have found success in India's SUV market, and domestic rival Tata Motors is investing heavily in EVs. Maruti's strength in brand trust, low cost of ownership and unmatched dealer network gives it resilience, but it must continuously innovate to fend off this competition, especially in tech (connectivity, ADAS features, etc., where others are catching up faster).

Strengths: Maruti's core strengths lie in its **economies of scale and cost efficiency, extensive distribution/service network** (over 3,500 outlets nationwide), strong brand equity (synonymous with reliability and affordable maintenance), and a deep understanding of Indian consumer preferences. The company's manufacturing is highly localized, with vendor relationships built over decades leading to competitive costs. It has a knack for producing models that deliver high fuel mileage – a key selling point in India. Maruti also has a robust **product portfolio** covering from entry-level ₹3–5 lakh cars up to ₹20+ lakh SUVs, which few competitors match model-for-model. Another strength is its **partnership with Suzuki/Toyota**, which gives it access to global technology (like hybrids) and collaborative product development (sharing costs/knowledge). Maruti's focus on multiple fuel options (petrol, CNG, hybrid, flex-fuel) positions it well to cater to diverse markets and transition toward EVs gradually. Financially, Maruti has a debt-free balance sheet and ample cash, enabling it to invest in new technologies and capacity expansion when needed.

Weaknesses: In recent years, **product mix weakness** in fast-growing SUV segments hurt Maruti – only now is it addressing this with new models. The company's **delay in EV development** is a strategic weakness; rivals like Tata have seized the early EV adopter market and brand image for innovation. Even Maruti's first EV will arrive around 2025, giving up several years of lead to others. Additionally, Maruti's decision to **drop diesel engines** left a gap in its portfolio (diesel remains preferred in certain SUV/jeep segments and for high-mileage users) ²⁵. Although the overall diesel market is shrinking, not offering a diesel option may still cost some sales (e.g. Mahindra & others dominate diesel SUV segments). Maruti's **heavy reliance on the Indian market** (over 95% of revenue is India) is another weakness – compared to global automakers, Maruti has limited presence in developed markets. This makes it vulnerable to any domestic downturn. In terms of technology, Maruti has been somewhat behind in high-end features – for instance, competitors introduced features like turbo-petrol engines, advanced infotainment, and safety tech sooner. Maruti's cars, focused on cost, sometimes have been perceived as

less sturdy or less feature-rich than Korean rivals (though this is improving). Lastly, as the industry moves to electrification, Maruti's **late mover status could be risky** if it doesn't execute well – it will need to rely on partners for battery tech and face new competition (even potentially from Tesla or new EV startups by 2030).

Outlook: The future for Maruti Suzuki involves navigating the transition to new energy and higher-end products while maintaining its mass-market dominance. **In the near term (next 2-3 years)**, Maruti's growth will likely come from its SUV onslaught and refreshing of its lineup. The company is introducing models in virtually every SUV sub-segment (from a new sub-₹6 lakh micro-SUV to rival Tata's Punch ¹⁹, up to larger 3-row SUVs/MPVs co-developed with Toyota) – this should help it claw back market share. Its target of **50% market share** is ambitious but not impossible if its new models succeed and the entry-level segment (where Maruti is strongest) revives post-pandemic. **Electrification** will start contributing meaningfully only by 2025-26 when Maruti's first EV hits the market; by 2030 Maruti expects 15-20% of its sales to be EVs (with hybrids also a large chunk). Maruti is positioning to be a fast follower in EVs rather than an innovator – leveraging scale to offer an affordable EV when battery costs drop. Given its statement of becoming “#1 in EV production, sales and exports” in India ²⁶, we can expect significant investments in domestic battery assembly, charging network (possibly through partnerships), and maybe an electric small car by late decade (Suzuki has shown concept EVs including a Jimny EV concept and the eVX). On the **export front**, Maruti will likely deepen penetration in Africa, Latin America and may explore new markets in Southeast Asia, leveraging India's cost advantage in manufacturing. The company is also preparing for **future regulations** – e.g., it's testing flex-fuel engines (expected launch in 2024) ¹⁷, and improving safety features to meet upcoming mandates (6 airbags, etc.). Maruti's outlook remains broadly positive due to India's growing car market and Maruti's adaptability. However, it faces the challenge of balancing its **“bread-and-butter” small car business with the need to invest heavily in technology (EV, autonomous, etc.)**. Management has indicated they will not abandon the budget segment – *“we will never forget customers who cannot afford expensive cars”* ²⁷ – so Maruti may even develop low-cost EVs or other solutions for that segment in the long run. Overall, Maruti's strengths in scale and its renewed focus on product gaps suggest it can retain leadership, but execution in new segments (premium SUVs, EVs) will determine if it can expand its dominance or if competitors continue nibbling at its share.

Sona Comstar (Sona BLW Precision Forgings Ltd)

Business Overview: Sona BLW Precision Forgings, operating under the brand **Sona Comstar**, is a leading Indian automotive **components manufacturer** with a strong focus on **driveline and electrification products**. Unlike Maruti or Dixon, Sona Comstar does not make finished vehicles; it supplies critical parts to automotive OEMs globally. The company's product portfolio includes **differential assemblies and gears** (for conventional and electric powertrains), various **shafts and precision forged components, conventional starter motors** and micro-hybrid **BSG (belt starter generator) systems**, as well as modern **EV traction motors and motor control units (MCUs)** ²⁸. In simpler terms, Sona's components are used in the **power transmission and electric propulsion systems** of vehicles – for example, the differential gear sets that transfer power to wheels, or the electric motors that drive an EV, are part of its offerings. Sona Comstar supplies these to a wide range of vehicle segments, including passenger cars, commercial vehicles, off-road vehicles, and even electric 2/3-wheelers in some cases. It has **10 manufacturing facilities** (likely across India, USA, Mexico upcoming, etc.) and **4 R&D centers** ²⁹, reflecting its emphasis on innovation. As of FY2024-25, Sona Comstar's consolidated revenue was about **₹35,460 million** (~₹3,546 crore, or ~\$430 million) with a net profit of ₹6,012 million ³⁰ ³¹. The company has grown rapidly – its revenue nearly doubled over a few years and a **large portion (over one-third)** of this revenue now comes from EV-related products (more

below). Sona's order book and customer base are global: it derives significant revenue from **North America and Europe** (together ~65% in FY25) ³², supplying to major automakers and Tier-1 suppliers. Notably, Sona Comstar is recognized as a key supplier for EV programs of companies including **Tesla** and other global OEMs ³³ – a strong endorsement of its technological capability.

Evolution and Recent History: The current Sona Comstar entity is the result of a **2019 merger** orchestrated by private equity firm Blackstone, which **combined Sona BLW (an Indian gear/forgings maker founded in 1995) with Comstar (a Chennai-based starter motor maker)** to create a diversified drivetrain player ³⁴ ³⁵. Blackstone acquired Comstar in 2017 and Sona BLW in 2018, merging them and later taking the company public via a ₹5,550 crore IPO in 2021 ³⁵. This gave Sona Comstar a dual legacy: Sona's heritage in precision forged gears and **differentials**, and Comstar's expertise in electric **starter motors** and alternators. Over the past decade (2015–2025), Sona transitioned from a largely ICE-oriented component supplier to a frontrunner in **EV component manufacturing**. For instance, it developed new products like **EV traction motors and motor controllers**, leveraging its motor-making know-how from Comstar. This focus is evident in its revenue mix: in FY2020, Sona had virtually no revenue from battery EV programs; by FY2023-24, **Battery EV (BEV) related products contributed ~29% of revenue**, and by FY2024-25 BEV share likely exceeded 30% ³⁶ ³⁷. In absolute terms, BEV segment revenue grew **32% in FY2023-24** and further **38% in FY2024-25**, far outpacing the growth in traditional product revenue ³⁶ ³⁸. Sona's management has proactively invested in this electrification trend – e.g., setting up dedicated lines for EV gear sets and motors, and allocating significant R&D budget (the company's R&D spend has been rising to develop new EV-centric solutions). The company also secured a number of new contracts in recent years: as of FY24 it had **54 EV programs** awarded and EV-focused products made up **79% of its order book** value ³⁹ ⁴⁰. This indicates that future revenue will increasingly come from EV components as those programs ramp up.

Geographically, Sona Comstar expanded beyond India – it already had a presence in **Chennai (India)** and a facility in **USA** (Detroit area) from the Comstar side. It recently announced a new **plant in Mexico** dedicated to driveline parts, which has already secured its first order with production slated by FY2028 ⁴¹. This will position Sona to serve North American EV production locally. The company had also intended to enter China via a joint venture (with a Chinese partner "JJE"/Jolin JNT) to manufacture EV motors, but that **JV is on hold due to geopolitical tensions** ⁴². Instead, Sona is focusing on other regions and technology partnerships. An example of tech partnership is Sona's work with **ClearMotion** – it is developing **fully active suspension motors** for an American suspension tech company, and recently won two program nominations to supply these motors to an Asian EV OEM and a European luxury carmaker (lifetime order value ₹820 crore) ⁴³. This shows Sona branching into adjacent niches like active suspension systems for high-end EVs. Overall, in the last 10 years Sona Comstar went from a local gear maker to a multinational, publicly-listed Tier-1 supplier with cutting-edge EV capabilities.

Products and Technological Edge: At a granular level, Sona's products can be grouped into two main categories: **driveline components** and **electrical components**. On the driveline side, it makes **differential gear sets, differentials (assemblies)** and axles – these go into the transmissions of cars, trucks and EVs (EVs still need differential gears for transferring motor power to wheels). Sona has specialized in making these gears with high precision and is among the top global suppliers for differential assemblies for EVs. On the electrical side, Sona produces **starter motors** (including micro-hybrid starter motors for start-stop systems) and **BSG (Belt Starter Generator) systems** which are used in mild-hybrid vehicles. Importantly, Sona has developed **EV traction motors** (these are the main drive motors in an electric vehicle) and their matching **Motor Control Units (inverters)** ²⁸. For example, it supplies a traction motor + controller system for certain luxury EV models. It is one of the few Indian companies with this capability, giving it a head-start as automakers globally seek reliable suppliers for EV powertrain parts. Sona's motors use permanent magnet technology; however,

recognizing the supply risk of rare-earth magnets, the company recently developed a **rare-earth-free “Ferrite Assisted Synchronous Reluctance Motor”** for electric 3-wheelers and light vehicles ⁴⁴. This innovation, which avoids heavy reliance on Chinese rare earth materials, underlines Sona’s R&D strength in adapting to industry challenges.

Another aspect of Sona’s business is catering to **multiple vehicle segments**: it supplies not just passenger car makers (including EV startups) but also **commercial vehicle and off-highway OEMs**. For instance, Sona’s differential gears might be used in an agricultural tractor’s axle, or its starter motors in a commercial truck. This diversifies its end-markets. That said, the **growth engine is clearly EV programs** – Sona’s order book of ₹236 billion (as of late 2025) is about 70% comprised of EV-related orders ⁴⁵. The company has stated it is working on **62 different EV programs across 32 customers globally** ³⁷, which is a testament to the demand for its expertise.

Market Position & Industry Trends: Sona Comstar is riding the megatrend of electrification in the auto industry. As global automakers transition to electric vehicles, **demand is booming for new components like high-precision gearboxes for EVs, high-voltage motors, and power electronics** – and Sona has positioned itself in that niche. The auto component industry is seeing a shake-up: traditional components like diesel engine parts or multi-gear transmissions will shrink, while EV parts (motors, single-speed gear reductions, battery components) will grow. Sona has been agile in shifting its product mix toward EV parts (from 0% to ~30% of revenue in a few years). This gives it a **first-mover advantage among Indian suppliers** in the EV space. Additionally, global OEMs are adopting a **China+1 sourcing strategy** for critical components due to geopolitical and supply chain risks – Sona has benefited from this as well, being a non-Chinese source for high-quality drivetrain parts. For example, as an Indian supplier, it secured business from North American and European OEMs looking to diversify away from China for motors and gears. However, the industry is not without challenges: the **EV boom is not linear** and has seen some volatility. In 2023-24, there were signs of **softening EV demand in the US/EU**, which impacted Sona. In H1 FY2025-26 (Apr–Sep 2025), Sona’s BEV-related revenue actually dipped ~21% YoY ⁴⁶. The management attributed this to one major global customer facing lower demand for a particular EV model ⁴⁷. This highlights a risk – **dependence on a few programs or customers** can cause short-term swings. Indeed, **one key customer’s demand issue (reportedly Tesla’s slowdown in certain markets) had a noticeable effect on Sona’s revenue** ⁴⁸ ⁴⁷. Industry-wide, while long-term electrification is certain, short-term EV sales can be cyclical due to economic conditions, subsidy changes, etc. Sona’s broad base of 32 EV customers somewhat mitigates over-reliance, but the top few programs still contribute heavily.

Another trend is the push for **localized supply chains and cost reduction** – automakers want cheaper yet high-tech components for EVs. Sona’s presence in India (a lower-cost manufacturing base) and soon in Mexico can give it cost competitiveness. It will, however, face growing **competition** from both traditional Tier-1 giants (like Bosch, ZF, Magna, etc. developing their own e-drivetrain products) and new specialized startups in EV components. To maintain an edge, Sona is investing in R&D and forming tech partnerships. Its three-pronged strategy, as stated by management, is: *develop new products in-house using core gear/motor expertise, partner for technology where needed, and acquire companies to expand product capabilities* ⁴⁹. This indicates Sona could even consider strategic **acquisitions** to quickly add new technology (similar to how the merger with Comstar gave it motor tech).

Strengths: Sona Comstar’s strengths include its **technological focus on EV and electrified components**, a **robust global customer network**, and a strong order book providing revenue visibility. It has proven capability to meet stringent quality standards of international OEMs (being a supplier to luxury EV programs is a strong credential). Sona enjoys a unique position as one of the **few pure-play EV component suppliers from India with global scale**. Its financial performance has been solid, with healthy margins (EBITDA margin ~27% in FY25 ⁵⁰) and return ratios, enabling reinvestment in R&D.

Another strength is its **agility and innovation** – exemplified by the quick development of rare-earth-free motors when faced with China's export restrictions ⁴⁴ . The company's leadership has articulated a clear vision to be at the forefront of the "E.P.I.C." future of mobility (Electric, Personalized, Intelligent, Connected). In practice, this means Sona is constantly diversifying its product mix (e.g., adding active suspension motors) ⁴³ and pursuing cutting-edge projects that could give it higher content per vehicle. Geographically, being present in multiple regions (India, US, upcoming Mexico, and possibly assembling in other locations through partners) allows it to serve customers efficiently and hedge against trade barriers. Moreover, Sona's backing by institutional investors and a successful IPO gave it capital to fund expansion without heavy debt – it's reasonably well-capitalized for growth.

Weaknesses and Challenges: Despite its successes, Sona Comstar does face challenges. A key one is the **concentration of its revenue in the EV segment while that market is still maturing** – as seen, an unexpected EV slowdown can hit its growth (its EV revenue fell 21% in H1 FY26) ⁴⁶ . This volatility could be a near-term weakness. Similarly, **customer concentration** could be an issue: if one large EV program (say a high-volume model of a major OEM) scales down or a contract is lost, Sona would feel the impact. The company's revenue is relatively modest in the context of global auto suppliers, which means it has to compete against much larger players for contracts. Some automakers might prefer established Tier-1 giants for critical EV components, so Sona must continuously prove its reliability and innovation. Another challenge is the **rapid pace of technological change** in the EV space – motors and power electronics are evolving (e.g., shift to higher voltage systems, new motor designs like axial flux motors, etc.). Sona will need to keep its product technology cutting-edge; any lag could make its offerings obsolete. It must invest heavily in R&D (which it is doing, R&D spend is increasing each year) to stay ahead. Additionally, as an Indian-headquartered firm, Sona has to manage cross-border operations and talent for high-tech development, competing to attract engineers in a field that's global (motor design experts, for example, are in demand worldwide). **Cost pressures** are another factor – OEMs will push for cost reductions over time, so Sona's challenge is to improve manufacturing efficiency continually (its expansion to Mexico is partly to be closer to customers and possibly lower logistics costs). Lastly, execution of new projects (like the Mexico plant scheduled to start production by FY28 ⁴¹) carries risk; any delay or cost overrun can affect its plans to meet booming order book demand.

Outlook: The future for Sona Comstar appears quite promising, aligned with the megatrend of vehicle electrification. The company's **order book (~₹23,600 crore) is almost 7 times its annual revenue** ⁵¹ , and about 70% of it is in EV programs ⁴⁵ , indicating robust growth potential as these orders translate to sales over the next 5-7 years. In the **short to mid-term (next 2-3 years)**, Sona may experience some uneven growth due to the current soft patch in EV demand globally ⁴⁶ . However, the fundamental trajectory is upward – as EV adoption accelerates (especially from 2025 onwards with many new models launching globally), Sona's volumes should ramp up. The company is expanding capacity and footprint in anticipation of this: by FY28 when its Mexico plant comes online, it will be better positioned to serve the North American EV market (which is expected to be one of the largest). In India, as domestic OEMs like Tata, Mahindra, and even Maruti move into EVs, Sona has an opportunity to supply them as well (currently a bulk of revenue is export, but Indian EV programs could contribute more towards 2030). The **technology roadmap** for Sona includes developing more efficient, lighter, and cheaper EV motors and gearing systems. For example, it might work on integrated drive units (combining motor + gearbox + inverter in one), powertrain components for two-wheelers (electric two-wheeler market is huge in India), and possibly components for autonomous or connected cars (like electronic differentials, etc.). The mention of "*personalised, intelligent, connected mobility*" in its vision ⁵² suggests Sona could venture into sensors or other electronic modules in the car in the long run.

Financially, as volumes grow and more of its order book converts, Sona should see economies of scale improve profitability. The company managed to sustain margins even when EV revenue fell temporarily (Q2 FY26 EBITDA margin dipped slightly due to mix, but overall Q2 revenue still hit record levels +24%

YoY ⁵³). Its challenge will be balancing growth with prudent capital expenditure. Sona has stated a three-pronged strategy: internal development, partnerships, and acquisitions ⁴⁹ . We may see **acquisitions** in the future if a particular technology or customer access is needed – for instance, Sona could acquire a battery cooling component maker or a software firm for motor controllers to broaden its portfolio.

In summary, Sona Comstar is on track to be a key global player in EV sub-systems. The industry's shift to electric and possibly autonomous vehicles will only increase the electronic and precision content per vehicle, benefiting suppliers like Sona who are ahead in that curve. If it executes well (meeting quality, delivery, and cost targets for its big orders), Sona's revenues could multiply several-fold by the end of the decade. The company's focus on innovation (such as new motor designs to overcome rare-earth shortages ⁴⁴) shows it is preparing for future hurdles in the EV supply chain. One future uncertainty is the competitive landscape: big Tier-1 companies are not standing still, so Sona must keep its niche and build deeper relationships with OEMs. So far, winning **62 EV programs** is evidence it's doing something right ³⁷ . The outlook is that Sona will continue increasing the **share of EV-related business (potentially 50%+ of revenue in a few years)** and reducing its exposure to legacy ICE components. As long as global EV adoption stays on course (despite short-term dips), Sona Comstar's future is bright and it could emerge as one of the premier Indian auto-component multinationals in the EV era.

Dixon Technologies (India) Ltd

Business Overview: Dixon Technologies is India's largest **electronics manufacturing services (EMS)** company, often described as a **contract manufacturer** for a wide range of electronic products. Founded in 1993, Dixon has grown into a one-stop manufacturing partner for many consumer electronics and appliance brands. The company operates across **multiple product verticals**, notably: **Consumer Electronics** (primarily LED televisions), **Lighting** (LED bulbs, battens, downlighters), **Home Appliances** (washing machines, recently refrigerators), **Mobile Phones & Tablets**, **Security Devices** (CCTV cameras, DVRs), and **Electronic Accessories/Components** (like set-top boxes earlier, and now components such as PCB assemblies, displays, etc.). Dixon's business model is OEM/ODM manufacturing – brands outsource the production of their devices to Dixon, which leverages its large-scale factories and supply chain to produce at lower cost. For example, if you buy an LED TV in India from a brand like Panasonic, Sanyo, Intex or even Xiaomi, there's a good chance it was actually assembled by Dixon in its factories. The same goes for many LED light brands and a significant portion of smartphones sold in India by certain brands.

In terms of scale, Dixon's growth in the last few years has been explosive. In FY2022-23, it crossed **₹10,700 crore** in revenues (~\$1.3 billion). By FY2024-25, revenue further jumped – for H1 FY25 (Apr-Sep 2024) alone, Dixon reported ₹10,454 crore, and for full FY25 it was on track to exceed ₹20,000 crore. In FY2025-26, Dixon is projecting **₹34,000+ crore** revenue (as per recent run-rate) ⁵⁴ . Indeed, in Q1 FY26 (Apr-Jun 2025) Dixon's revenue nearly **doubled year-on-year (+95%)** and net profit more than doubled (+107%), indicating the scale of its expansion ⁵⁵ . The biggest driver has been the **Mobile & Electronics segment**, which now dominates Dixon's business. In Q1 FY26, the **mobile/EMS division contributed 91% of total revenue**, up from ~79% a year prior ⁵⁶ . This is a dramatic concentration – essentially, smartphone manufacturing has become Dixon's primary revenue engine. The company has partnerships or contracts with major phone brands: **Motorola** (Lenovo), **Pixel (Google)** via an ODM tie-up, **Samsung** (for some models earlier), and Indian/Chinese brands like **Lava**, **Karbonn**, **Itel/Transsion**. Dixon has been a key beneficiary of India's **Production Linked Incentive (PLI)** schemes, particularly for mobile phones – it was one of the earliest and most successful Indian companies under the government's PLI for handset manufacturing ⁵⁷ ⁵⁸ . By consistently meeting PLI production targets,

Dixon earned government incentives, which further boosted its capacities and margins. In fact, Dixon is often cited as the **“poster child” of India’s PLI scheme success in electronics**, being the only domestic company to meet targets in multiple categories (mobiles, LED lighting, telecom hardware, AC components) ⁵⁷ .

Product Lines and Capabilities: At a granular level, Dixon’s products include:

- **LED Televisions (TVs):** Dixon manufactures TVs for numerous brands. It has had capacity to produce millions of TV sets annually (approximately 4.4 million units capacity by 2021, expanded to around 6 million units by mid-decade) ⁵⁹ . It handles everything from sourcing panels to final assembly, often in an ODM model where it may design some aspects. In earlier years, this was a big revenue contributor, though recently growth here has stagnated or declined slightly (due to price erosion and some lost market share to competitors).
- **Lighting Products:** Dixon produces **LED light bulbs, tube lights, streetlights and downlighters** for various companies (including Philips, Syska, Wipro, etc.). It was one of the top ODMs for LED bulbs after India’s LED lighting boom (post-2015 when incandescent bulbs were phased out). It has capacity for tens of millions of LED lamps annually ⁶⁰ . This segment had good margins but has matured.
- **Home Appliances:** Dixon started with assembling **washing machines** (semi-automatic washing machines) for clients like Godrej, Bosch etc. It recently inaugurated a new **fully automatic washing machine plant (capacity 2.4 million units/year) in 2024** ⁶¹ . Additionally, in 2022-23 it ventured into **refrigerator manufacturing** via a plant in Greater Noida (through a tie-up with Bosch for technology). The appliances segment is smaller compared to mobiles, but Dixon aims to grow it as a diversification.
- **Mobile Phones & Tablets:** This is now the crown jewel. Dixon (through its subsidiary Padget Electronics) assembles smartphones on behalf of brands. It has tie-ups for both domestic sales and exports. For example, **Motorola phones for U.S. export** are made by Dixon – Motorola (Lenovo) ramped up production in India via Dixon to make India an export hub ⁶² ⁶³ . Dixon also manufactures certain **Google Pixel** phone models through a partnership with Compal (a Taiwanese ODM) ⁶⁴ . It recently started making devices for **Transsion Holdings** (Itel, Tecno, Infinix brands popular in Africa), and is exporting those to African markets ⁶⁵ ⁶⁶ . To support this growth, Dixon has expanded its capacity to be able to produce up to **60 million phones annually** ⁶⁷ . In FY26 alone, it plans to manufacture **40–42 million phones**, aiming to reach **60–65 million by FY27** ⁶⁸ . These are staggering volumes, putting it in league with some global EMS companies. Moreover, Dixon has pursued JVs to deepen this business: it acquired a majority stake in **Iscart** (now **Ismartu** India), which gave it access to Transsion’s volume (Transsion has 10-12% share in India’s smartphone market and a huge feature-phone share) ⁶⁹ . It’s also working on a **joint venture with Vivo** (Chinese smartphone giant) – regulatory approvals are underway and production is expected to start by FY2026-27 ⁷⁰ ⁷¹ . Under that JV, Dixon would produce up to 67% of Vivo’s India phone output, which could add ~18–20 million units annually ⁷² . With these tie-ups, one analyst noted Dixon will be catering to **8 out of the top 10 mobile brands, covering ~80-85% of the market** ⁷³ – essentially nearly every major phone brand except perhaps Apple and one or two others.
- **Security & Surveillance:** Dixon, via a JV (AIL Dixon), makes **CCTV cameras and DVRs** for brands like CP Plus. India has a large market for security systems and Dixon capitalized on government procurement as well.

- **IT Hardware and Others:** Recently, Dixon entered **laptop/IT hardware manufacturing** after being approved for the PLI scheme in that domain ⁷⁴. It has started mass production for **Lenovo and Acer laptops** and plans to onboard **HP and Asus** by early FY26 ⁷⁴. This is a new vertical and potentially large (given India's ambition to localize laptop production). Additionally, Dixon has forayed into **telecom equipment** manufacturing (under PLI for telecom products) and making components like **inverter boards for air conditioners** ⁷⁵. These expansions are part of Dixon's strategy to capture "adjacent" electronics markets beyond consumer devices.

Industry Position and Growth Drivers: Dixon's rise coincided with two big trends: **"Make in India" push + PLI incentives**, and **global electronics supply chain diversification**. Prior to 2015, a lot of electronics sold in India were imported (especially from China). The government's PLI scheme (launched 2020) changed that by incentivizing local manufacturing via subsidies if certain output targets are met. Dixon grabbed this opportunity, scaling up production massively in mobiles and other categories to earn PLIs ⁵⁸. It was the **only domestic firm to consistently meet PLI targets** for mobiles, lighting, etc., which shows strong execution ⁵⁷ ⁷⁶. Because of this, it received payouts that effectively improved its margins and funded expansion. The **China+1 strategy** of global companies also benefited Dixon: companies like Motorola, who traditionally relied on China, started using India (Dixon) as a manufacturing base to diversify risk and also to take advantage of India's lower labor costs and incentives ⁶² ⁶³. For example, **Motorola smartphones are now being exported from India to North America** in large numbers due to Dixon's production ⁶³. Similarly, Google opted for partial manufacturing of Pixel phones in India (via Dixon/Compal) as part of its strategy to reduce reliance on China. These moves validate Dixon's capabilities on a global stage.

In the domestic market, Dixon's scale and track record make it a preferred partner for even new categories – e.g., **Acer and Asus chose Dixon to make laptops in India** because Dixon has demonstrated quality production in similar fields ⁷⁴. The company's management has a clear growth mindset: they aim to place Dixon among the **top 10 EMS companies globally in the next five years** ⁷⁷. Achieving this would require multi-fold growth (top 10 EMS would mean revenues of several billion dollars). Dixon is addressing this by **moving up the value chain**. Historically, EMS is a low-margin, high-volume game; Dixon's net profit margins have been around 3-4%. To improve this, the company is implementing **backward integration** – manufacturing more of the components in-house rather than just assembly. For instance, it has acquired or developed capabilities for **PCB assemblies, camera modules, batteries, chargers, and display modules** ⁷⁸. The CEO mentioned they launched a **display module unit** and are working on **mechanical parts and other modules** to increase "wallet share" per device ⁷⁹. By making components like screens and casings, Dixon can capture more value and not just do final assembly, thus boosting margins. This is crucial as the **mobile PLI incentives will end by FY26** ⁸⁰ – once subsidies stop, Dixon's margins could be pressured unless it has efficiency or higher-value-add to compensate ⁸¹. Dixon is aware of this and believes increased exports and backward integration will offset the PLI expiry impact ⁸².

Strengths: Dixon's key strengths are its **operational excellence in manufacturing, scalability**, and government policy support leverage. It has built an enviable track record of executing large orders with quick turnaround, which is why multiple brands trust it with their product lines. Its plants are modern and spread across India (Noida, Dehradun, Tirupati, etc.), often situated in tax-friendly zones. Another strength is **diversification across product categories** – even though mobiles dominate now, Dixon still has presence in TVs, lighting, appliances, which can provide stability if one segment slows. The company's ability to forge **joint ventures and partnerships** is also a plus: for example, it partnered with **Bharti (Airtel)** for telecom equipment manufacturing, with **Aditya Infotech** for security devices, with **Acer** for laptops, and with **boAt** (Imagine Marketing) for wearables/PLI. These tie-ups bring in technical know-how or ready customers. Financially, Dixon has maintained a healthy ROCE (over 60% in recent periods) ⁷⁶ by managing working capital tightly and turning over assets quickly. It has a frugal

approach – it doesn't invest in a new line without firm orders in hand, which kept it asset-light relative to revenue. Additionally, Dixon benefits from the strong macro tailwinds: the **Indian electronics market is fast-growing**, and government aims to increase electronics exports to 40% of output ⁸³, which aligns with Dixon's export push. Dixon's increasing export capability (10-12 million phones targeted for export in the near term ⁸⁴) shows it can meet global quality standards, a competitive advantage over smaller local EMS players.

Weaknesses & Risks: One prominent risk for Dixon is the **heavy dependence on a single segment – mobile phones – for the bulk of its revenue and profit**. As noted, in H1 FY25 mobile/EMS was 81% of revenue ⁷⁶. This concentration means Dixon is somewhat tied to the fortunes of the smartphone market and a few key customers (Motorola/Lenovo, Transsion, potentially Vivo, etc.). If, for instance, Motorola were to shift orders elsewhere or global demand for phones stagnates, Dixon could see a sharp impact. In fact, there was news that **Motorola began diversifying some production to another Indian EMS (Karbonn) under PLI**, which caused concern for Dixon ⁸⁵ ⁸⁶. Competition is another challenge – global EMS giants like Foxconn, Pegatron, Flex, etc., are also expanding in India, especially after Apple's entry. While Dixon is a leader among domestic companies, it will face tougher competition for big contracts from these seasoned players. Moreover, Dixon's **low-margin model** means any operational slip-up can hurt profits disproportionately. It must keep utilization high to cover fixed costs. The end of the PLI subsidy for mobiles in 2026 could reduce its EBIT margins on that business unless offset by scale or efficiency gains ⁸¹. The company's high growth also brings execution risk: rapidly scaling to 60 million phones and simultaneously launching new verticals (laptops, telecom, etc.) is complex. Supply chain management (ensuring critical components like semiconductors are available) is a continuous battle – e.g., global chip shortages in 2021 affected many electronics makers, and Dixon would not be immune if such issues recur. Another risk is regulatory and geopolitical: its JV with **Vivo (a Chinese firm)** needed special government approval (FDI via Press Note 3) due to India's restrictions on Chinese investment ⁷⁰. Any delays or denial of such approvals could hamper planned ventures. Also, reliance on imports of components (still many parts come from China/Taiwan) means currency fluctuation and import logistics are concerns, though Dixon is trying to localize more components. Lastly, from a business perspective, EMS is usually a volume-driven industry with thin margins – scaling up is great but Dixon needs to ensure it doesn't overstretch or compromise on quality. As the **market expectations are very high (the stock trades at triple-digit P/E valuations)** ⁸⁷, any slowdown in growth could hit sentiment hard, though that's more of an investor concern than operational.

Future Plans and Outlook: Dixon's trajectory suggests it aims to become a manufacturing powerhouse not just for India but for the world. In the **immediate future (1-2 years)**, a key focus is **successfully executing the huge ramp-up in mobile manufacturing**. It plans to produce over 40 million smartphones in FY26 and ramp to ~60 million in FY27 ⁶⁸. This includes integrating the Vivo JV production and maximizing exports. Achieving these numbers would place India (via Dixon) as a significant global phone exporter, potentially second only to China/Vietnam. Dixon's management has indicated that increased **exports to North America, Africa and other regions** will be crucial for sustaining growth once domestic PLI incentives taper off ⁶² ⁸⁴. So far, they've lined up clients like Motorola (North America), Google (North America), and Transsion (Africa) to drive exports ⁶² ⁶⁶. The success of these exports will determine if Dixon can keep its factories busy beyond local demand and maintain cost competitiveness internationally (they note they are striving for "global cost comparativeness" in manufacturing) ⁸⁸.

Another pillar of the outlook is **backward integration and new high-margin verticals**. In the next few years, we'll see Dixon ramp its **components manufacturing**: e.g., the **display module** line coming online, production of mechanics (plastic cases, metal parts), **camera modules, battery packs**, etc. ⁷⁸ ⁷⁹. Additionally, **semiconductor assembly** might be on the horizon – Dixon has applied under schemes like the India Semiconductor Mission for subsidies to possibly set up chip packaging or

fabrication of small chips (though this is speculative, but they are certainly exploring higher-tech areas). If these materialize, Dixon can offer a more end-to-end solution to clients (for example, making not just the phone but also the battery and screen in-house), which would increase its margins and stickiness with customers.

In terms of new product lines: **IT hardware** (laptops, tablets, servers) could become a significant business if global PC giants shift a chunk of assembly to India. Dixon already making Lenovo and Acer laptops is a start ⁷⁴ – the coming years could see scale there, especially since the government also has a PLI for IT hardware which runs till 2025-26 and major manufacturers are looking to diversify. **Telecom equipment** manufacturing (like modems, networking gear) is another potential given the PLI Dixon has for that; they could tap into both domestic telecom demand and export (some reports suggest they may make telecom gear for companies like Ericsson or Nokia under license, though not confirmed publicly). **Appliances:** Dixon's new refrigerator line and expanded washing machine capacity mean it intends to grab a larger share of the appliance outsourcing market, competing with incumbents like Amber (for ACs) and Havells/UBL. Over a 5-year view, Dixon envisions itself among the top EMS globally, which likely means multi-billion dollar revenue and a global client roster. They have stated an ambition to be in the **world's top 10 EMS companies** by size ⁷⁷. To put that in perspective, in 2020 the 10th largest EMS had revenues around \$5-6 billion. Dixon's current run-rate (~\$2.5-3 billion) could reach that with a few more years of ~30-40% growth. It may even consider **international expansion** – perhaps setting up or acquiring facilities outside India (none announced yet, but to serve global clients it might happen long-term).

Overall outlook: The electronics industry in India is poised for fast growth and Dixon is extremely well-placed to ride this wave. The government's vision to significantly increase electronics production and exports (targeting \$300 billion worth by 2026) essentially relies on companies like Dixon to scale up ⁸³. Dixon's strengths in execution and its deepening of capabilities give confidence in its growth trajectory. Analysts are optimistic but also cautious about the high expectations; they generally agree Dixon needs a "next growth driver" beyond just assembling more phones ⁸⁹ ⁹⁰. This next driver could be the component ecosystem – if Dixon can successfully transition to making higher-value components (displays, maybe even silicon design in future) and enter categories like EV electronics (there were talks it might get into EV battery or charger manufacturing, which haven't materialized yet but is plausible), it will sustain high growth for longer. One can foresee Dixon potentially making **EV components or battery packs** down the line, since that's another sunrise electronics field.

In the near term, a critical watch factor will be how Dixon navigates the **end of the mobile PLI in March 2026**. The company expects that by then, it will have enough **scale and efficiencies (like in-house components)** that even without subsidies it can remain cost-competitive and even improve margins ⁸¹. They are also counting on **export incentives and economies of scale** to mitigate any margin hit ⁸². The company's CFO has indicated acquisitions like the **Ismartu stake (Transsion)** add ₹7,000–8,000 crore to revenue ⁶⁹, and the Vivo JV will kick in by FY27 boosting volumes ⁹¹. With these, Dixon is effectively ensuring its order pipeline is full for the foreseeable future. As long as consumer demand for electronics stays robust and global companies continue to trust Indian manufacturing, Dixon's growth story should remain intact. The company has indeed become one of India's **Make-in-India success stories**, and going forward, it is likely to be at the center of India's emergence as an electronics manufacturing hub, much like Foxconn in China or Taiwan. The journey will require flawless execution and constant innovation in manufacturing processes, but Dixon's track record thus far inspires confidence that it can become a true electronics giant.

Key Questions for Investor Relations (IR) Teams

Finally, to deepen understanding and get forward-looking insight, here are some **analytical questions one could pose to the IR/management teams** of these companies:

For Maruti Suzuki (Automotive OEM):

- *EV Strategy & Timeline*: Maruti has outlined a plan for **4 EV models by 2030**, starting with the eVX (electric SUV). **What specific models or segments will these EVs target, and does Maruti plan to leverage Suzuki-Toyota's global EV tech further?** Also, how will Maruti ensure it becomes a leader in EV sales by 2030 ¹ ²² – is the strategy to focus on affordable mass-market EVs, or higher-end models initially?

- *SUV Market Share*: Maruti's market share dropped partly due to the SUV boom. **With the launch of models like Jimny, Fronx, Grand Vitara and upcoming SUVs, how does Maruti project its SUV segment share and overall market share to evolve in the next 2-3 years?** Is the goal of reclaiming **50% market share** by end of decade on track, and what assumptions (industry growth, competitor moves) underpin that target ¹ ?

- *Multi-Powertrain Approach*: Maruti is unique in promoting **CNG, hybrids, and flex-fuel alongside petrol**. **How does the company see the mix of these powertrains in its sales by say 2025 and 2030?** For example, do they expect CNG to continue growing (given it's ~15% of industry now) or plateau as EVs rise ¹⁶ ? And will strong hybrids remain a key offering even once EVs are introduced, as a differentiator in fuel efficiency?

- *Capacity Expansion & Exports*: Maruti aims for **4 million units capacity by 2030** and has been growing exports rapidly ¹³ ⁴ . **What regions or markets is Maruti prioritizing for export growth?** And is the new capacity (like the Sonipat/Kharkhoda plant) mainly to meet domestic demand, or to serve as an export hub for certain models? Any plans to produce India-made Suzuki vehicles for developed markets?

- *Competitive Landscape & New Entrants*: With new entrants (MG, Kia) and domestic rivals (Tata, Mahindra) aggressive in EVs and safety features, **how is Maruti positioning its brand to younger, more tech-savvy consumers?** Will we see a shift in Maruti's product philosophy toward more premium features (safety ratings, connected car tech, ADAS) to retain customers moving upmarket? In other words, how will Maruti address the perception gaps in areas like build quality and technology compared to competitors?

- *Diesel Gap and Alternate Fuels*: **Diesel** still has a niche demand (especially in SUV/MUV and commercial). Does Maruti foresee any scenario to re-enter diesel (perhaps via Toyota's diesel tech) or is it a closed chapter? Alternatively, is Maruti's bet that **ethanol flex-fuel** and biogas (for CNG) will sufficiently cover the heavy-user segment so that exiting diesel won't hurt in the long run ²⁵ ¹⁷ ? Clarity on this would help understand Maruti's powertrain coverage strategy.

For Sona Comstar (Auto Components supplier):

- *EV Demand Variability*: Sona's revenue is increasingly tied to EV programs (~30% revenue, 70% order book) ⁴⁵ . Recently, EV demand in some markets softened ⁴⁶ . **How is Sona planning for these fluctuations?** Are they diversifying customer base or entering new vehicle segments (e.g., two-wheeler EV components) to spread risk? Also, how do they hedge against the risk of any single OEM or model (we saw one model's drop affected H1 sales) ⁴⁷ – do they have broad exposure so that other programs can compensate if one falters?

- *Capacity and Expansion Plans*: With a large order book (₹236 billion) and new programs, **what are Sona's plans for capacity expansion** in the next few years? The new Mexico plant is one step ⁴¹ – are more international facilities or significant capex in India expected? And can their existing 10 plants handle the projected growth or will greenfield expansion be needed to, say, triple revenue by 2030?

- *Technological Roadmap*: **What new technologies is Sona developing in-house?** For instance, they've mentioned rare-earth-free motors ⁴⁴ and active suspension motors ⁹² . Are they investing in power

electronics (e.g. inverter design), battery-related components, or perhaps software (for motor control, vehicle integration)? Essentially, how will Sona ensure it stays at the cutting edge of EV powertrain tech versus much larger competitors?

- *Competitive Differentiation*: Sona has successfully won business with demanding customers (even Tesla) ³³ . **What do they consider their key differentiators that win these deals?** Is it cost, proprietary design advantages, quality track record, or flexibility? Understanding this can highlight how defensible Sona's global position is as more players chase EV component contracts.

- *Product Portfolio Strategy*: Currently, Sona's products revolve around **motors, gears, driveline**. **Does Sona plan to expand into other EV components** like e-axes (integrated motor+gear units), **power electronics (converters, onboard chargers)**, or perhaps software solutions for vehicle control? Also, with mechanical components like differentials, one risk is EVs may use simpler drivetrains (some EVs have no conventional differential if they use in-wheel motors, for example). How is Sona hedging for such trends? Are they looking at, say, developing in-wheel motor assemblies or other next-gen concepts?

- *Geopolitical & Supply Chain*: Given Sona's international footprint, how are they handling **supply-chain dependencies**? For example, electronic components and magnets often come from China – what's Sona's strategy in case of trade restrictions or tariffs (the article mentioned adapting motor designs due to China's rare-earth export policy) ⁴⁴ ? Similarly, any comment on how US/EU protectionist policies (like US IRA localization rules) could affect them and how they're positioning (possibly by localizing via Mexico plant)?

- *Long-term Vision*: Where does Sona's management see the company by 2030? For instance, do they aim to be one of the top global EV component suppliers with a diversified portfolio (and what scale, e.g., do they envision 5x or 10x revenue)? This would help gauge how aggressively they plan to grow (organically or via acquisitions) and in what areas.

For Dixon Technologies (Electronics manufacturing):

- *Post-PLI Sustainability*: With the crucial **Mobile PLI ending in FY26**, **how does Dixon plan to sustain margins and growth afterward?** ⁸⁰ ⁷⁶ . Can they detail the expected impact and how much they anticipate exports and backward integration will fill the gap? For instance, will pricing to clients change once incentives stop, or do they expect an extension of PLI or new incentives (perhaps PLI 2.0)?

- *Customer & Segment Diversification*: Right now, ~90% revenue is from mobile devices ⁵⁶ . **What is Dixon's strategy to grow other verticals (like consumer electronics, appliances, or new categories)?** Are they actively seeking new big clients in LED TVs or appliances (perhaps global brands) to better balance the portfolio? Also, with wearables, IT hardware, and even EV electronics as potential areas, which adjacencies is Dixon targeting next for growth?

- *Capacity Utilization & Expansion*: Dixon has expanded capacity massively (e.g., 60M phone capacity, 6M TV, 2.4M WM, new laptop lines) ⁶⁷ ⁶¹ . **What is the current utilization rate of these capacities and what is the plan to ensure they run at optimal levels?** For example, phone output is scaling, but TV/light segments were underutilized recently. Will Dixon repurpose or upgrade some older lines (like for CFL lighting or older TV models) to new products?

- *Joint Ventures and Partnerships Progress*: There are multiple JVs (Vivo, Bharti for telecom, boAt for wearables, etc.). **Can management update on the status and timeline of key JVs?** For the **Vivo JV**, what is the realistic production start date and volume expectations for FY27 ⁷² ? For **telecom products JV**, have they secured any orders or clients (given 5G rollout, etc.)? And how is the **Lenovo/HP laptop manufacturing ramp** going – any challenges in scaling that, or potential to export laptops as well?

- *Moving up the Value Chain*: Dixon has mentioned backward integration initiatives (display, mechanics, battery packs, camera modules, etc.) ⁷⁸ . **Which of these are already operational or near-ready, and how much margin improvement do they foresee from them?** Also, any plan to get into semiconductor assembly (for example, making their own chip PCB assemblies or even chip packaging) since they hinted at interest in the India Semiconductor Mission ⁹⁰ ? Essentially, what's the timeline for Dixon becoming not just an assembler but also a components manufacturer at scale?

- *Competition & Differentiation: With global EMS like Foxconn, Wistron, Pegatron in India (especially for mobiles) and local players emerging, how does Dixon plan to maintain its leadership? Is it via cost leadership, better government relations, breadth of services, or something else? Also, given the high expectations built into its valuation, how is Dixon ensuring it doesn't overstretch – for example, are they building any buffers or flexibility into operations to handle demand swings or client losses (like if a major customer reduces orders)?*

- *Export Ambitions: Dixon has spoken of exporting ~10-12 million phones and more products ⁸⁴. Beyond phones, do they plan to export other electronics (TVs, appliances) in a big way?** Have they received interest from global brands to manufacture in India for worldwide distribution (like how Apple uses India for some iPhones)? A perspective on how Dixon aims to integrate into global supply chains (not just serve the Indian market) would be insightful, especially in the context of the government's \$ electronics export goals.

Each of these questions touches on strategic directions and potential concerns, and would help an analyst gauge the future trajectory and resilience of Maruti, Sona Comstar, and Dixon Technologies. The answers would illuminate how these companies plan to navigate technological shifts, competitive pressures, and growth challenges in the coming years, solidifying one's expertise on their businesses.

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